Practice workbook · Why keep a trial balance? Benefits and limits

What a trial balance is for, what agreement of the totals does and does not prove, and whether keeping one is worthwhile.

12 question parts: 1 worked-example retry and 11 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

OLevels.com SCHOOL

Type ID: ACC-CTL-01

1. Question 16 · part c · 5 marks

2021 JUN · Paper 01

Worked-example retry · Attempt part c only.

16 At the end of his financial year, 31 March 2021, Jacques prepared a trial balance and opened a suspense account with a debit balance of $210

Jacques has found the following errors.

1. Motor insurance, $400, had been posted to the debit side of the motor vehicles account.
2. A cheque received from a credit customer, $650, had been entered correctly in the cash book but had been entered as $560 on the credit side of the customer's account.
3. A direct debit, $120, for general expenses had not been entered.
4. Returns inwards, $150, had been posted to the credit side of the returns outwards account.

(a) State the type of error made in error 1.

(1)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

16

1. Question 16 · part c · 5 marks

2021 JUN · Paper 01

Worked-example retry · Attempt part c only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

(b) Prepare journal entries to correct **each** of the errors.

Narratives are **not** required.

(9)

Date 2021	Error	Details	Debit $	Credit $
31 March	1			
	2			
	3			
	4			

OLevels.com SCHOOL

1. Question 16 · part c · 5 marks

2021 JUN · Paper 01

Worked-example retry · Attempt part c only.

(c) Evaluate the advantages and disadvantages of preparing a trial balance.

(5)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

(Total for Question 16 = 15 marks)

1. Question 16 · part c · 5 marks · Working and answer

Working and answer

OLevels.com SCHOOL

2. Question 15 · part a · 2 marks

2020 JAN · Paper 01

Further practice · Attempt part a only.

15 (a) Complete the following sentence.

The main purpose of a trial balance is to check

the .... of the

double entry.

(2)

(b) Identify the type of error in **each** case.

(3)

Error	Type of error
A payment for motor expenses had been posted to the motor vehicle account.	
A payment for general expenses had not been recorded.	
A payment for general expenses had been posted to the motor expenses account.	

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

Olevels.com SCHOOL

2. Question 15 · part a · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

3. Question 14 · part a · 2 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

14 (a) State **two** purposes of preparing a trial balance.

(2)

1 .....

2 .....

(b) State **one** difference between:

(i) an error of commission and an error of principle

(2)

.....

.....

.....

.....

(ii) an error of original entry and an error of omission.

(2)

.....

.....

.....

.....

(c) Identify, indicating with a tick (✓), where each account balance would be shown in a trial balance.

(4)

Account	Trial balance	
	Debit $	Credit $
Carriage inwards		
Carriage outwards		
Returns inwards		
Returns outwards		

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

8

P 7 1 5 7 3 A 0 8 2 4

3. Question 14 · part a · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

4. Question 15 · part a · 2 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

15 (a) State **two** purposes of a trial balance.

(2)

1 .....

.....

2 .....

.....

(b) State the name of the account that is opened if a trial balance does not balance.

(1)

.....

On 31 March 2024 Harum prepared a trial balance that did not agree.

An investigation revealed the following errors.

- A cash payment for stationery, $300, had been entered as $30
- No entries had been made for goods, cost $550, taken by Harum for his own use.
- The purchase of a new motor vehicle, $10 000, had been posted to the motor expenses account.
- A credit purchase, $85, from Son, had been credited to the account of Song.

OLevels.com SCHOOL

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

4. Question 15 · part a · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

5. Question 15 · part d.i · 2 marks

2023 NOV · Paper 01

Further practice · Attempt part d.i only.

15 On 31 August 2023 Jones, a sole trader, identified the following errors and omissions.

1. A withdrawal of cash for personal use, $650, had not been recorded.
2. A payment for motor expenses, $234, had been posted to the motor vehicles account.
3. A cheque paid for general expenses, $65, had been entered in the cash book as $56

(a) Prepare journal entries to record the correction of **each** of these errors and omissions.
Narratives are not required.

(6)

	Account	Debit $	Credit $
August 31			

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

P 7 3 4 7 3 A 0 1 0 2 0

5. Question 15 · part d.i · 2 marks

2023 NOV · Paper 01

Further practice · Attempt part d.i only.

DO NOT WRITE IN THIS AREA

(b) Identify, indicating with a tick (✓), the effect, if any, on the profit for the year ended 31 August 2023 following the correction of **each** error and omission.

(3)

Error	Increase	Decrease	No effect
1			
2			
3			

(c) State which account is opened when a trial balance does not balance.

(1)

.....

DO NOT WRITE IN THIS AREA

(d) (i) Explain **one** benefit of preparing a trial balance.

(2)

.....

.....

.....

.....

(ii) Explain **one** limitation of preparing a trial balance.

(3)

.....

.....

.....

.....

.....

DO NOT WRITE IN THIS AREA

(Total for Question 15 = 15 marks)

O1Levels.com SCHOOL

5. Question 15 · part d.i · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

6. Question 15 · part b · 4 marks

2024 JUN · Paper 01

Further practice · Attempt part b only.

15 Vaughn provided the balances at 30 April 2024.

(a) Prepare the trial balance at 30 April 2024.

(11)

Trial balance at 30 April 2024			
Account	**Balance $**	**Debit $**	**Credit $**
Advertising	3 260		
Bank loan	18 400		
Bank overdraft	12 880		
Carriage inwards	530		
Drawings	23 400		
Equity	44 300		
General expenses	12 290		
Inventory at 1 May 2023	39 800		
Machinery – cost	55 270		
Machinery – provision for depreciation	26 130		
Mortgage	63 000		
Premises	84 000		
Purchases	133 910		
Returns inwards	820		
Revenue	223 730		
Trade payables ledger control	34 640		
Trade receivables ledger control	32 830		
Wages	36 970		
Total			

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

P 7 5 8 3 6 A 0 1 0 2 0

6. Question 15 · part b · 4 marks

2024 JUN · Paper 01

Further practice · Attempt part b only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

(b) Explain to Vaughn **two** advantages of preparing a trial balance.

(4)

1 .....

2 .....

(Total for Question 15 = 15 marks)

OLevels.com SCHOOL

6. Question 15 · part b · 4 marks · Working and answer

Working and answer

OLevels.com SCHOOL

7. Question 17 · part c · 5 marks

2024 NOV · Paper 01

Further practice · Attempt part c only.

17 Sunal has been in business for some years but has never maintained a full set of accounting records.

On 1 July 2023, he identified that his assets and liabilities were as follows.

	$
Bank overdraft	1 200
Inventory	8 162
Machinery	25 000
Other payables	542
Petty cash	250
Premises	65 000
Trade payables	4 900
Trade receivables	8 230

(a) Prepare an opening journal entry on 1 July 2023. A narrative **is** required.

(4)

Journal

Date	Account	Debit $	Credit $
Jul 1			

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

P 7 5 9 4 0 A 0 1 8 2 4

7. Question 17 · part c · 5 marks

2024 NOV · Paper 01

Further practice · Attempt part c only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

During the year ended 30 June 2024:

- Sunal purchased additional machinery, $5 000, on credit from AC Engineering
- irrecoverable debts, $650, were written off.

(b) Prepare journal entries to record the **two** transactions. Narratives **are** required.

(6)

Journal

Date	Account	Debit $	Credit $
Jun 30			
Jun 30			

OLevels.com SCHOOL

7. Question 17 · part c · 5 marks

2024 NOV · Paper 01

Further practice · Attempt part c only.

(c) Advise Sunal of **two** benefits to his business of maintaining a trial balance.

(5)

OLevels.com SCHOOL

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN

(Total for Question 17 = 15 marks)

7. Question 17 · part c · 5 marks · Working and answer

Working and answer

OLevels.com SCHOOL

8. Question 15 · part b · 5 marks

2020 NOV · Paper 01

Further practice · Attempt part b only.

15 Raheem has prepared the following incorrect trial balance.

(a) Prepare the corrected trial balance.

(10)

Trial balance at 30 April 2020

Account	Debit $	Credit $	Debit $	Credit $
Bank overdraft	3 850			
Carriage inwards		260		
Carriage outwards	830			
Discount allowed		1 010		
Drawings	8 400			
Equity		27 460		
General expenses	18 470			
Inventory at 1 May 2019		6 960		
Irrecoverable debts		380		
Property at cost	36 000			
Motor vehicles – cost – provision for depreciation	18 300	10 980		
Purchases	44 310			
Rent received	1 650			
Returns outwards	570			
Revenue		96 740		
Trade payables ledger control account	9 150			
Trade receivables ledger control account		15 480		
Suspense	17 740			
Totals	159 270	159 270		

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

8. Question 15 · part b · 5 marks

2020 NOV · Paper 01

Further practice · Attempt part b only.

DO NOT WRITE IN THIS AREA

(b) Evaluate the benefits of preparing a trial balance.

(5)

OLevels.com SCHOOL

(Total for Question 15 = 15 marks)

DO NOT WRITE IN THIS AREA

8. Question 15 · part b · 5 marks · Working and answer

Working and answer

OLevels.com SCHOOL

9. Question 14 · part a · 2 marks

2021 NOV · Paper 01

Further practice · Attempt part a only.

14 (a) State **one** advantage and **one** disadvantage of preparing a trial balance.

(2)

Advantage

.....

.....

Disadvantage

.....

.....

(b) Complete the table, using a tick (✓), to identify in which column of the trial balance each item would be entered. The first item has been completed as an example.

(10)

	Debit	Credit
Inventory	✓	
Bank overdraft		
Carriage inwards		
Discount received		
Drawings		
Equity		
Machinery – provision for depreciation		
Provision for irrecoverable debts		
Rent received		
Returns inwards		
Trade receivables		

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

P 6 6 4 6 8 R A 0 8 2 0

9. Question 14 · part a · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

10. Question 15 · part b · 5 marks

2025 NOV · Paper 01

Further practice · Attempt part b only.

15 On 30 September 2025 Lee prepared a trial balance that did not agree. The difference was entered in a suspense account.

Lee found the following errors.

1. No entries had been made for goods, cost $183, taken by Lee for his own use.
2. Returns inwards of $290 had been posted to the credit of returns outwards account.
3. A credit purchase, $108, from Michael, had been credited to the account of Martina.
4. Commission received, $74, had been debited to both the commission received account and the bank account as $47

(a) Prepare journal entries to correct **each** error. Dates and narratives are **not** required.

(10)

Journal

Error	Account	Debit $	Credit $
1			
2			
3			
4			

OLevels.com SCHOOL

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

10. Question 15 · part b · 5 marks

2025 NOV · Paper 01

Further practice · Attempt part b only.

(b) Discuss whether Lee should continue to prepare a trial balance.

(5)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

RITE IN THIS AREA

OLevels.com SCHOOL

(Total for Question 15 = 15 marks)

10. Question 15 · part b · 5 marks · Working and answer

Working and answer

OLevels.com SCHOOL

11. Question 15 · part b · 2 marks

2023 JAN · Paper 01

Further practice · Attempt part b only.

15 (a) Complete the corrected trial balance.

(10)

Trial Balance at 30 September 2022

	Draft trial balance		Corrected trial balance	
Account	**Debit $**	**Credit $**	**Debit $**	**Credit $**
Bank overdraft		4 250		
Carriage inwards		480		
Discount allowed	370			
Drawings		8 300		
Equity		17 800		
General expenses	14 350			
Inventory 1 October 2021		7 200		
Irrecoverable debts		390		
Loan to employee	100			
Motor vehicle – cost	22 300			
Motor vehicle – provision for depreciation		13 380		
Premises	44 000			
Purchases	64 380			
Rent received	480			
Returns inwards		550		
Revenue		124 800		
Trade payables		8 420		
Trade receivables	6 710			
Total				

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

P 6 5 8 8 6 A 0 1 2 2 4

11. Question 15 · part b · 2 marks

2023 JAN · Paper 01

Further practice · Attempt part b only.

DO NOT WRITE IN THIS AREA

(b) Explain what is indicated if both totals of a trial balance are the same.

(2)

(c) (i) State **one** difference between an error of **commission** and an error of **principle**.

(2)

(ii) State **one** other type of error that does **not** affect the balancing of the trial balance.

(1)

(Total for Question 15 = 15 marks)

OLevels.com SCHOOL

Working and answer

12. Question 15 · part d.ii · 3 marks

2023 NOV · Paper 01

Further practice · Attempt part d.ii only.

15 On 31 August 2023 Jones, a sole trader, identified the following errors and omissions.

1. A withdrawal of cash for personal use, $650, had not been recorded.
2. A payment for motor expenses, $234, had been posted to the motor vehicles account.
3. A cheque paid for general expenses, $65, had been entered in the cash book as $56

(a) Prepare journal entries to record the correction of **each** of these errors and omissions.
Narratives are not required.

(6)

	Account	Debit $	Credit $
August 31			

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

P 7 3 4 7 3 A 0 1 0 2 0

12. Question 15 · part d.ii · 3 marks

2023 NOV · Paper 01

Further practice · Attempt part d.ii only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

(b) Identify, indicating with a tick (✓), the effect, if any, on the profit for the year ended 31 August 2023 following the correction of **each** error and omission.

(3)

Error	Increase	Decrease	No effect
1			
2			
3			

(c) State which account is opened when a trial balance does not balance.

(1)

.....

(d) (i) Explain **one** benefit of preparing a trial balance.

(2)

.....

.....

.....

.....

(ii) Explain **one** limitation of preparing a trial balance.

(3)

.....

.....

.....

.....

.....

(Total for Question 15 = 15 marks)

OLevels.COM — SCHOOL —

12. Question 15 · part d.ii · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL